

ketplaces—and pretty strange ones too. People buy NFTs of newspaper clippings, magazine covers, tweets, and memes. They buy GIFs featuring tacos, toilet paper, and cards. They buy NFT trading cards featuring key moments from the sporting world, and NFTs that represent key experiences or milestones from the lives of their favourite actors or musicians. Note that much of this, like Jack Dorsey's first tweet or a football top shot, is already available on the Web for all to see. Why would people spend money on collecting such NFTs?

To answer this, ask yourself why people have historically collected seemingly small-value things like stamps, scale models, and sports trading cards. Well, the logic behind a collection is that its value increases when there is scarcity of the object being collected. When stamps go out of print, their value increases. Trading cards with MS Dhoni or Virat Kohli can be bought off shelves today for an insignificant price, but some years later, when cards with other faces fill the shelves, these will become scarce and valuable!

Then there is the hero worship aspect too. Fans want to own a piece of their hero's journey—like buying the ball that went for a winning sixer, or the sneakers that an athlete wore while winning a key race. They want to collect trivia and trinkets associated with their favourite brands.

So, people buy NFT collectibles hoping that scarcity and fan-following will increase the value of these collectibles in the secondary market.

Brand marvels. Taco Bell launched a collection of taco-themed GIFs and Pizza Hut sold pixelated pizzas, while Charmin sold non-fungible toilet paper, and TIME Magazine auctioned NFTs of some of its famous covers! Adidas debuted NFTs in December 2021 and sold \$23 million worth within hours. Some of their "Into the Metaverse" NFTs purchased at \$765 at drop are now selling for over \$2500 on OpenSea. Mahindra & Mahindra launched a collection of four NFTs

The hidden charges

Reading about all this makes every other person eager to try their luck in minting NFTs! With mobile apps like Sketchar, you can even create NFTs on-the-go, right? While technically speaking anyone can mint an NFT, practically it is not so easy. First, you need a wallet, and it needs to be loaded with crypto, even to mint and sell an NFT. Most sites charge for buying and selling—very few let you list an NFT for free, and then charge a commission on the sale price. Along with this, many marketplaces also charge a 'gas fee' to compensate the energy consumed to complete the transaction, considering that it is an extremely energy-intensive process.

Add to this the conversion fees charged by crypto-exchanges to convert your money into cryptocurrencies, the rapid fluctuations that the crypto-market is known for, and the need for a reasonably advanced computer system to mint an NFT, and you might just end up spending more than you bargained for.

Buying NFTs is also not easy—at least not the ones with high potential—because many NFT drops are by invite. To get into one, you need to be active on the project's or creator's social media, and garner enough attention to be considered worth being in the White List.

featuring the all-new Thar, on Tech Mahindra's NFT marketplace, Mahindra Gallery. The amount raised was donated to Project Nanhi Kali for the education of underprivileged girls in India. Anand Mahindra tweeted about the new experiment, "We believe it's not just a make-believe world, it's also a place where we can explore solutions for making the real world a better place. Only fitting that the Thar—our flagship off-roader—leads us into the uncharted landscape of NFTs."

Brands around the world are trying to engage with their customers in the emerging digital world. Some of the brand based NFTs are assets or accessories that can be used in the virtual world, like digital sneakers or sunglasses that your

avatar can wear, while others are merely collectibles that are expected to increase in value.

Sometimes, the brand based NFT comes coupled with some tangible reward—after all, the customers have shown great loyalty! For example, some of the sneaker NFTs developed by RTFKT, which Nike recently acquired, include a tradeable ticket for a physical shoe that you can collect in the future. Similarly, the winners of Mahindra's NFTs also got a chance to experience the all-new Thar in one of Mahindra's 4x4 off-roading tracks. Adidas' debut NFTs offered the holder virtual wearables and the right to redeem them for physical freebies like a hoodie, a tracksuit, and a beanie! NFTs can be a great way to presell physical products in the virtual world!

Hero worship. When Under Armour launched a series of sneaker NFTs to commemorate Stephen Curry's NBA three-point record, it sold out in less than a minute! A single LeBron James highlight NFT sold for \$200,000. Guardian Link and BeyondLife.club recently launched an exclusive collection of 250 NFTs dedicated to Indian-origin astronaut Kalpana Chawla, with never-before-seen images shared by her family. The proceeds were donated to an Indian charity for education. World over, celebrities like Snoop Dogg and Lindsay Lohan are launching unique memories and moments as securitised NFTs.

Sports collectibles. The US basketball league NBA is selling officially licensed digital collectibles under the



Fig. 4: An NFT from Adidas' Into the Metaverse collection (Source: Adidas)